BIG QUESTION

Should you borrow against your life policy?



Illustrations by SIDDHANT JUMDE

The purpose of life insurance is to protect the financial interest of your dependants and provide you with peace of mind. However, life insurance can also be used as collateral in case you have no other option and need money. Certain life policies—those with a savings and investment orientation—are pledged to borrow against. The same is not the case with term policies against which one cannot borrow. Further, insurers and lenders have different criteria on the loan amount and tenure of the loan that one can take when using their life policy as collateral.

Often, the reason one considers borrowing against an existing life insurance policy is that no other source of loan is available. And, as the policy against which one is considering borrowing has a history and doesn't need any additional collateral, lenders provide loans on the policy based on the paid-up or surrender value of the policy. These are factors that define the worth of the policy for the policyholder to borrow against. Moreover, the interest rate on a loan against the policy is significantly lower than the interest on a personal loan.

Many policyholders consider a loan against their life policy because of the convenience and ease compared to other conventional borrowing options. For the lender, the surrender value in case of default makes it a lucrative option to consider. They work towards creating an assignment of the policy, wherein the policyholder gives the right to policy benefits were they unable to repay the loan. The risk is very high in such a loan, especially if you are unable to repay the loan in the stipulated time. The sole purpose of a life policy is the financial interests of your family and dependants and not yourself.

What you should do

You are considering a step out of desperation. In such a case, it may be prudent to close the policy and take its surrender value instead of a loan against the policy. If the loan is for a short duration, to overcome short-term financial commitments, there is no harm in borrowing against your life insurance policy. However, in the long run, it makes sense to look at alternatives or consider borrowing only if no other window is left open to you.



First visit your insurer as some of them offer you a loan and also consider the reason for your borrowing unlike other third-party lenders. Ideally, you should not compromise on your life insurance cover to borrow against it. However, if your finances are in a state wherein you have no better choice, you should consider closing the policy than continuing it, unless you expect to foreclose the loan at the earliest. Check the surrender value of the policy; if it is better than the sum you are borrowing, consider closing the policy and buy a lower value insurance cover and use the remaining to pay for a new policy that may provide lower cover, but which is better than having none.

Do not settle with the insurer and scout about for other lenders. Sometimes, other lenders offer a better rate on borrowing on their policies compared to the insurer. If you decide to surrender the policy, do so by taking fresh insurance cover, even if it is lower than what you had, instead of being totally uninsured. ■